

Focus on Failures

[Figure 53.3](#) shows what a roof failure looks like. The pattern outlined at A has a left shoulder, B, head at C, and right shoulder, D, and yet it's not a head-and-shoulders top. Why? Because price breaks out upward (at E). Instead, it's a roof chart pattern. This roof has the required flat bottom, but it also shows a down-sloping volume trend at F (which is typical).